Understanding Marketplace Performance Across Geographies: Socioeconomic Trends and Future Considerations

Capstone Project Proposal:

Introduction, Background, and Problem Statement

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Introduction

In 2010, the ACA was enacted to reform health care in the U.S. Prior to this, plans were difficult to compare, sometimes inaccessible to those with preexisting conditions, and lacked a financial assistance system. To address this, the ACA created "Marketplaces" which officially began coverage in 2014: central shops for individual and family coverage. Plans on the Marketplace, or "on-exchange," follow standard metal tiers based on how costs are split between the insurer and member, cover the ACA's "essential health benefits," cannot discriminate against members with preexisting conditions, and can be eligible for premium and cost-sharing assistance.

Among the insurers competing on the Marketplace today, Kaiser Permanente is a significant player, serving nearly 13 million members nationwide (Kaiser Permanente, 2026). Different from many other insurers, Kaiser is an integrated health care system: it's composed of the Kaiser Foundations: nonprofit organizations that provide insurance and own the hospitals and care facilities, and the Kaiser Permanente Medical Groups: for-profit partnerships of physicians that provide care. In the context of the Marketplace, this is especially important because Kaiser's performance is not only tied to the insurance market, but also the geography of its facility network.

This project examines how socioeconomic and market characteristics relate to Kaiser's Marketplace performance across geographies and how those characteristics may change over the next five to ten years.

Background

Across the regions that Kaiser Permanente offers on-exchange plans, socioeconomic and market conditions vary drastically. For example, Kaiser offers plans on the Marketplace in both San Mateo and Fresno counties, where median household incomes differ by nearly 114% (U.S. Census Bureau, 2024). Similar to the variation in socioeconomic conditions seen across geographies, Kaiser's performance on the Marketplace varies as well. Looking at Marketplace share in 2022, Kaiser accounted for 76.5% of Covered California enrollments in San Mateo County and only 28.1% in Pricing Region 11, which includes Fresno, Kings, and Madera counties (Covered California, 2022).

With such stark variation in socioeconomic characteristics and Marketplace performance, it may be valuable to examine correlations between the two. Understanding these relationships may help identify characteristics associated with Marketplace performance outcomes and provide a foundation for evaluating how changing market conditions could affect future performance.

Problem Statement

Though the variation in socioeconomic characteristics and Kaiser's Marketplace performance across geographies is known, their relationships may not yet be fully understood. This project will identify these relationships, use them to explain trends in Marketplace performance, and extend them to future outcomes. Specifically, the project will address the following research questions:

1. What socioeconomic and market characteristics across geographies are associated with Marketplace performance?
2. Which areas currently exhibit these characteristics and outcomes?

3. How are these socioeconomic and market characteristics expected to change over the next five to ten years?
4. What considerations for future market analysis emerge from these findings?

References

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